

prices dropped by 6%, the home would be worth \$94,000. Since the buyer made a \$20,000 down payment, she would have an \$80,000 mortgage. If she couldn't make the mortgage payments and was forced to sell the house for \$94,000, she could pay off the \$80,000 mortgage and walk away with \$14,000 of the original down payment—a \$6,000 loss. Bad news, but not devastating.

But what if she owned the \$400,000 home? If she made a \$20,000 down payment, she would have a \$380,000 mortgage. After a 6% drop in real estate prices, that home would be worth \$376,000. In other words, she would actually owe the bank \$4,000 more than the actual value of her home. And if she was forced to sell the house at that value to pay off her debts, she would suffer a loss of \$24,000—the entire down payment plus an additional \$4,000.

If you owe more than your house is worth, you have what is known as an **upside-down mortgage**—a situation that has ensnared millions of homeowners. You do not want to be one of them.

↓ SHOPPING FOR A MORTGAGE

If you were shopping for a car or even a digital camera, you probably wouldn't dream of buying the first one you saw. This should be true when you shop for a mortgage as well. If you're able to find an interest rate just half a percentage point lower, you'll save thousands of dollars over the life of the loan. The good news is that it's easy. The best place to start your search is online so you can get a sense of what various rates are. The websites www.hsh.com, www.freeratesearch.com, www.zillow.com, and www.bankrate.com can help you sort through the offerings of dozens of major lenders. Next, see if your bank or credit union can top the best rate you find online. Sometimes, the best deals are in your own backyard. At your own bank, ask if you can get a better rate than what's advertised because you're already a customer.

Fixed Rates versus Adjustable Rates